REQUIRES NEGOTIATION 85% success likelihood

EXECUTIVE SUMMARY

SITUATION

Northstar Logistics GmbH is on a Professional Plan (custom contract) with an ACV of EUR 72,000 (EUR 6,000/month contracted). The 3-year contract runs from April 2024 to March 2027 with auto-renewal. Current usage exceeds contracted limits on three dimensions: API calls at ~10.9M vs 8M limit (136%), automation runs at ~5.7M vs 4M limit (143%), and storage at 2.6 TB vs 2 TB limit (130%). Users remain within limits at 138/150 active seats. The client is generating an estimated EUR 6,082/month in overage charges, doubling their effective spend to ~EUR 12,082/month.

COMPLICATION

Northstar's overage charges now exceed their base contract value, creating a situation where the client pays twice what they budgeted. Their finance team has explicitly asked for predictable billing twice. With a QBR scheduled for May 2026 and contract midpoint review in April 2026, this is the window to restructure before procurement engages in aggressive renewal negotiations. Growth trends are accelerating (+42% API, +55% automation runs), meaning overages will only increase. If left unaddressed, the billing unpredictability becomes a churn catalyst despite strong product adoption.

RISKS & MITIGANTS

MEDIUM Procurement rejects 50% ACV increase
Frame as cost reduction: EUR 108K/year vs current run-rate of EUR 145K/year (contracted + overages)

HIGH Client uses midpoint review to push for discount
Lead with usage data showing they get 2x value vs contract; anchor on per-unit economics

LOW Competitor re-evaluation triggered
CSAT at 8.1, deep API integration, 21 active integrations create high switching costs

MEDIUM Two new regional teams inflate usage beyond Enterprise limits
Build expansion clause into Enterprise contract with pre-negotiated rates

! **Immediate Intervention Required**
`Monthly API calls: 136% | Automation runs: 143% | Data storage: 130%`

RESOLUTION

Option A: Enterprise Restructure RECOMMENDED

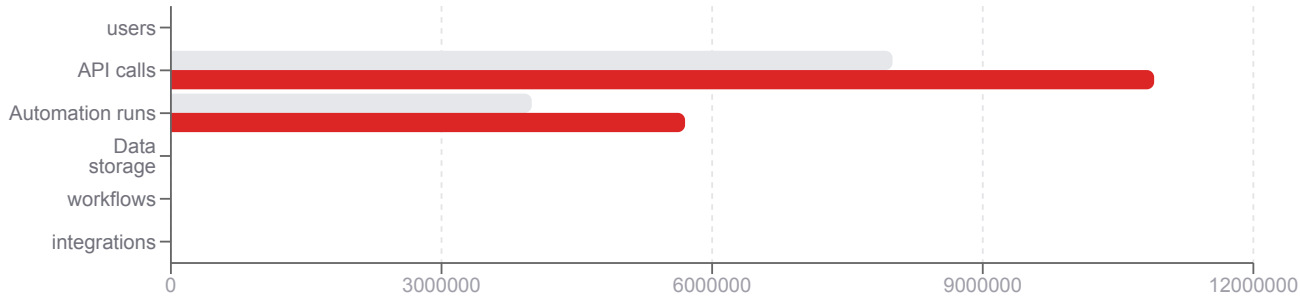
ACTION	Migrate to Enterprise tier: 300 seats, 15M API calls, 8M automation runs, 5 TB storage
UPSIDE	ACV to EUR 108,000 (+50%), predictable billing, 18-month growth headroom
RISK	Procurement may push back on 50% increase at midpoint
TIMELINE	Present at April midpoint review, close before May QBR

Option B: Custom Overage Cap

ACTION	Keep Professional plan, add overage cap at EUR 4,000/month with annual true-up
UPSIDE	ACV to EUR 96,000 (+33%), minimal disruption, addresses finance team concern
RISK	Overages may exceed cap within 6 months given growth trajectory
TIMELINE	Present at May QBR as interim solution

Option A is recommended. Northstar's growth trajectory and the finance team's explicit request for predictable billing make a clean restructure more attractive than a band-aid overage cap. The 50% ACV increase is justified by the fact that they're already spending at that level through overages.

KEY METRICS



ACTIVE USERS	MONTHLY API CALLS	AUTOMATION RUNS	DATA STORAGE	ACTIVE WORKFLOWS	ACTIVE INTEGRATIONS
138 / 150	10900000 / 8000000	5700000 / 4000000	2.6 / 2	1860 / 2000	21 / 25

MRR (CONTRACTED)	MRR (EFFECTIVE W/ OVERAGES)	PAYMENT
EUR 6,000	**EUR 12,082**	**on time**

EVIDENCE FROM SIMILAR ENGAGEMENTS

D-003 D-003: Mid-market logistics client with 140% API overage restructured to Enterprise at contract midpoint.

ACV increased 45% but client CSAT improved from 7.8 to 9.1 due to billing predictability. Relevant because Northstar shares the same pain point.

D-011 D-011: European manufacturing account with aggressive procurement team.

Presenting restructure at QBR rather than renewal avoided adversarial negotiation dynamics. Closing rate 78% when framed as "cost optimization" vs 42% when framed as "upsell."

D-007 D-007: Client with heavy automation usage (5M+ runs/month) who delayed restructure.

Overages hit EUR 9,000/month within 8 months, triggering executive escalation and competitive RFP. Early intervention at Northstar avoids this trajectory.

NEXT STEPS

1. Prepare usage trend analysis and cost comparison (contracted vs actual spend)
   Account Executive
   T−14 days (before April midpoint)
2. Schedule pre-QBR call with Northstar's finance lead to discuss billing predictability
   Customer Success
   T−10 days
3. Draft Enterprise restructure proposal with expansion clause for regional teams
   Revenue Operations
   T−7 days
4. Align internally on discount authority for procurement pushback scenarios
   Sales Leadership
   T−7 days

KEY QUESTION

> *"Your team's actual usage tells us you've outgrown your current plan. If we could lock in predictable billing that covers your real usage and the two new regional teams, would that be worth discussing at the midpoint review?" ---*

SALES SCRIPT

OPENING HOOK

"I've been looking at your usage data ahead of our midpoint review, and I wanted to flag something important: your team is getting tremendous value from the platform, but your billing structure no longer reflects how you actually use it. I think we can fix that in a way that saves you money compared to your current run-rate."

DISCOVERY QUESTIONS

1. How is the onboarding timeline looking for the two new regional teams you mentioned?
2. Has the finance team's concern about variable billing come up again since their last request?
3. Are there features on our roadmap (like the AI Prediction add-on or Advanced Analytics) that your team has been waiting to evaluate?
4. What does your procurement process look like for a mid-contract restructure vs waiting for renewal?

VALUE FRAMING

> Northstar is currently spending EUR 145,000 annually when you include overages, but only budgeted for EUR 72,000. An Enterprise restructure at EUR 108,000 actually saves the company EUR 37,000 per year compared to the current run-rate, while providing headroom for the two regional teams coming online in 2026. This is not an upsell; it is a cost optimization that aligns billing with reality.

CLOSING FRAMEWORK

Present the Enterprise restructure at the April midpoint review as a cost optimization story (EUR 145K current run-rate vs EUR 108K proposed). Lead with the finance team's billing predictability request as the trigger. If procurement engages, provide the per-unit economics comparison showing Enterprise is cheaper on every dimension. Fallback to the overage cap (Option B) only if procurement requires a phased approach, with a built-in review clause at 6 months to revisit Enterprise migration.